

COMCAST CORPORATION (NASDAQ: CMCSA)

Fairly Priced, Not Cheap The Re-Rating Is Priced In

Equity Research Note · Communication Services — Cable & Media · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
HOLD	\$21	\$21.57 Oct 2, 2026	-1% (+5% w/ dividend)	Medium-High Beta 0.66

Snapshot			
Market cap	~\$76.5 bn	Shares (diluted)	~3.54 bn
Enterprise value	~\$159 bn	52-week range	\$21.28 – \$32.86
Net debt (mid-2026)	~\$85 bn	YTD / 1-yr return	~-27% / -26%
TTM adj. EBITDA	~\$34.4 bn	2026E adj. EPS (cons.)	~\$3.50
Normalized FCF	~\$15 bn	Dividend yield	6.1% (\$1.32 annualized)
Next catalyst	Q3'26 results 10/22/26	Spin close	NBCU + Sky, ~mid-2027

This note is independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from Comcast's SEC filings and earnings releases and market data as of October 2, 2026. Projections and the price target are the author's estimates. This note supersedes the September 28, 2026 edition (BUY, \$40 target), which is withdrawn.

1 Investment Thesis

We are downgrading Comcast from BUY to **HOLD** and cutting the target from \$40 to **\$21**. The September note's \$40 target rested on a valuation stack that does not survive a red-team audit: a **flat 6.25% WACC** that the note itself admitted was subsidized by leverage that may not persist, a bear case (\$21) that sat essentially at the market price, and a target blended from four models with hand-set weights and then haircut on judgment. Rebuilt under hardened rules — a 10-year scenario DCF, tiered discounts (base 10%, bear 12.5%, bull 8.5%), terminal growth capped at 2.5% — fair value is **\$21.39, within 1% of the \$21.57 quote**. The market already prices the stabilized-free-cash-flow base case. There is no margin of safety at this price, and the bear case (\$1.03) is catastrophic: \$85B of debt means the equity is a stub in any real decline scenario.

What changed in our judgment, in plain terms. The old note asked the reader to underwrite the company 'like a utility with a catalyst.' A utility with 2.2x leverage, a shrinking core product, and a ratings review is not a utility — and pricing it at a utility's cost of capital (6.25%) was the load-bearing error. At a standard 10% discount, the EV math is unforgiving: enterprise value \$155.8B against \$85B of net debt leaves equity worth \$70B, or **\$20.00 in the base case**. The bull case (\$44.55) requires the broadband turnaround, the mobile conversion, Peacock sustaining profit, *and* a clean spin re-rating — all four, to get to a number the old note treated as the midpoint.

Why not REDUCE? Two things keep this a HOLD rather than a sell. First, the base case is genuinely plausible: normalized free cash flow of ~\$15B is real, the 6.1% dividend is covered ~8–9x by FCF, and the mid-2027 spin is a real catalyst that converts a conglomerate discount into two pure-plays. Second, the bear case is severe but not the modal outcome — wireless is adding a record ~450K lines a quarter and Peacock just posted its first profitable quarter. Holders are paid 6% to wait for the spin; new money has no edge at \$21.57.

Why own it (at the right price)

A ~20% free-cash-flow yield that is real. Normalized FCF of ~\$15B on a \$76.5B market cap, after stripping the \$2B one-time FY25 cash-tax benefit. The dividend (\$1.32, 6.1%) is covered ~8–9x by FCF — the floor of the thesis.

Wireless is the offset that works. Xfinity Mobile passed 10M lines with a record +448K net adds in Q2'26; wireless service revenue +14.2% to \$1.0B/quarter. Convergence (cheap/free mobile) is the only proven broadband-churn reducer in the toolkit.

The spin is a genuine catalyst. NBCU + Sky separation (~mid-2027) leaves a pure-play connectivity company (~40% EBITDA margins, 55%+ in business services) that the market prices at 6–7x EBITDA — versus 4.3x today — plus a separately-listed media asset with parks and studios the conglomerate multiple buries.

Peacock inflected. First profitable quarter (+\$189M EBITDA on \$1.9B revenue, +54%) after >\$11B of cumulative losses. The NBA/Olympics rights give it a live-sports funnel nobody else replicates.

Why the market should be nervous

The CFO just warned of 'no sign of easing' in broadband attrition. Q2'26: AT&T; +646K, T-Mobile +520K, Verizon +348K net broadband adds vs Comcast –167K. Fiber overbuilders and fixed wireless are taking 1M+ net adds a quarter industry-wide while cable loses share — and Comcast is defending with price cuts (broadband ARPU –3.8% YoY) that compress the very margins the thesis needs.

\$85B of debt makes the equity a stub in the bear case. Our bear DCF is \$1.03/share — not a typo. At 12.5% discount with FCF declining ~4.5%/yr and –2% terminal growth, EV falls to \$88.7B and the debt consumes nearly all of it. Leverage cuts both ways; the old note's 6.25% WACC assumed it only cuts one way.

The spin's economics are TBD. The debt split, each company's dividend policy, and standalone NBCU economics are unknown; a bad split (too much debt on RemainCo, dividend rebase) unwinds the re-rating. Buybacks stay paused until close — removing price support.

Ratings on review. Moody's (A3) and S&P; (A–) both have the company on review since the spin announcement. A downgrade raises funding costs on a ~\$90B debt stack.

2 Business Overview

Comcast is the largest U.S. residential broadband provider, mid-way through a two-step breakup. On January 2, 2026 it completed the tax-free spin of its legacy cable networks into Versant Media Group. On June 29, 2026 it announced a second tax-free separation: NBCUniversal + Sky into a standalone public company (target close ~mid-2027). Post-deals, Comcast becomes a pure-play connectivity company (Xfinity broadband/wireless/business services, ~65M U.S. homes and businesses passed); the spun media company keeps Universal Pictures, NBC/Telemundo/Bravo, Peacock, the theme parks including Epic Universe, Sky, and a sports-rights stack (NFL, NBA, Olympics) through 2032–2036.

Segment economics (2025, recast ex-Versant): Connectivity & Platforms is the profit engine at 86.6% of adjusted EBITDA with ~40% margins — residential C&P; \$70.7B revenue at 37.7% EBITDA margin, business services \$10.2B at 55.9% (the highest-margin, fastest-growing piece, staying in RemainCo). Media (\$27.1B, 11.8%), Studios (\$11.3B, 9.7%), Parks (\$9.8B, 31.3% — Epic Universe opened May 2025, drove FY25 parks EBITDA +4.5%). Consolidated: \$123.7B revenue, \$37.4B adjusted EBITDA (30.2%). Q2'26: revenue \$29.94B (–1.2%), EBITDA \$8.90B (–13.4%) — beat consensus on both, but the trajectory is deteriorating at the core.

The product battleground in brief

Xfinity Internet (crown jewel, under attack). ~28.5M domestic residential broadband subs. Since June 2025: everyday-pricing tiers, 5-year price lock, free Xfinity Mobile line for a year — an explicit trade of ARPU for retention. Net losses narrowed (Q2'26 –167K vs –201K) but the CFO warned of no easing in Q3. DOCSIS 4.0 upgrade economics (<\$200/home vs \$500–1,000 fiber) are a cost story, not a growth story.

Xfinity Mobile (the offset). 10.19M lines, record +448K adds in Q2'26; only ~7% penetrated of the addressable base. H2 2026 test: ~1M+ free-year promo lines must convert to paying.

Peacock (inflection). 48M paid subs, first profitable quarter. Rides with the spun NBCU.

Parks & studios (mispriced inside the conglomerate). Universal #1 studio in 2026 (>\$5B global box office); Epic Universe ramping. Both ride with the spun NBCU at higher multiples than 4.3x.

3 Financial Situation

Revenue has been flat for three years (~\$122–124B) while the mix deteriorates at the core. Two adjustments matter: FY2025 GAAP net income (\$20.0B) includes a \$9.4B pre-tax Hulu-sale gain, and FY2025 free cash flow (\$19.2B, a record) includes a ~\$2.0B one-time cash-tax benefit that will not recur. Use adjusted EBITDA (~\$37.4B FY2025; TTM ~\$34.4B) and normalized FCF (~\$15B) as the analytical base.

\$ mn	FY2022	FY2023	FY2024	FY2025	TTM
Revenue	121,427	121,572	123,731	123,707	124,905
Adjusted EBITDA	36,459	37,633	38,069	37,384	34,398
Adj. EBITDA margin	30.0%	31.0%	30.8%	30.2%	27.5%
Adjusted EPS	\$3.64	\$3.98	\$4.33	\$4.31	\$3.79
Free cash flow	12,646	12,962	12,543	19,235*	17,774*

*FY25/TTM include ~\$2.0B one-time cash-tax benefit. Sources: company releases; yfinance.

Balance sheet: ~\$90.4B total debt, ~\$7.7B cash → ~\$83–85B net debt at mid-2026; net leverage ~2.2x adjusted EBITDA; interest coverage ~8.5x; A3/A– both on review since the spin announcement; maturities long-dated to 2055. Dividend \$1.32 annualized (6.1% yield), 17 straight increases through Jan 2025, held flat in Jan 2026 — payout ~31% of FY25 adjusted EPS and ~8–9% of normalized FCF. Buybacks paused June 29, 2026 pending

separation (\$7.2B in 2025).

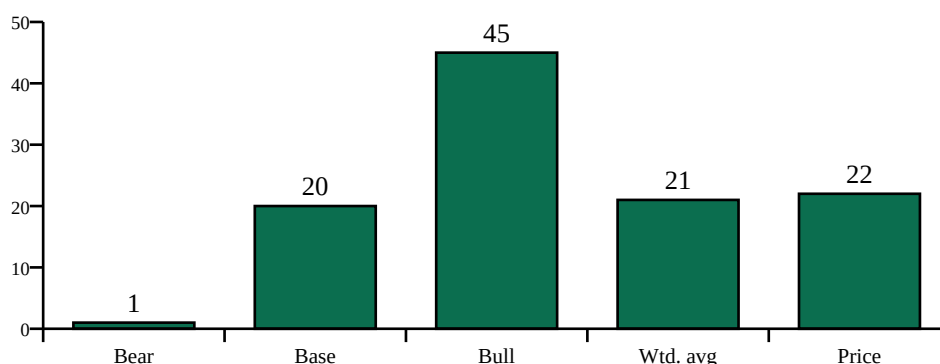
4 Valuation — Hardened 10-Year DCF, Fair Value \$21

The September note valued Comcast on four blended lenses with a flat 6.25% WACC — a cost of capital the note itself flagged as subsidized by leverage that may not persist. The rebuild values the firm on a single hardened 10-year free-cash-flow DCF, weights bear 25% / base 50% / bull 25%, and prices risk through scenario-specific discounts rather than a leverage-flattered WACC: **base 10.0%** (standard tier — declining core, 2.2x leverage, spin execution risk; this is not a stable compounder), **bear 12.5%** (base + 250bp), **bull 8.5%** (base – 150bp). Terminal growth is **+1.5% / –2.0% / +2.0%** on year-10 FCF at normalized mid-cycle margins (12.1% base, never peak). Net debt \$85B; 3.539B shares. No multiple overrule, no lens-blending, no judgment haircut: the target is the weighted DCF.

Scenario DCF (10-year FCFF, 2027–2036):

Scenario	2027–36 rev CAGR	FCF path (\$B)	FCF mgn yr-10	Discount / term. g	Fair value
Bear	–1.2%	14.5 → 9.6	8.9%	12.5% / –2.0%	\$1.03
Base	0.0%	14.7 → 14.6	12.1%	10.0% / +1.5%	\$20.00
Bull	+1.2%	15.4 → 19.0	14.0%	8.5% / +2.0%	\$44.55
Probability-weighted (25/50/25) → \$21 target					\$21

Scenario fair values vs. current price (\$)



The bear case is genuinely severe — and it must be. If broadband losses don't stabilize (the CFO's own warning), FCF declines ~4.5%/yr to \$9.6B by 2036 with –2% terminal decline; at a 12.5% discount the firm is worth \$88.7B and the \$85B debt stack consumes nearly all of it. Bear fair value **\$1.03**: revenue declines (–1.2% CAGR), FCF margin compresses 320bp vs base (12.1% → 8.9%), and the derating is 95% — all three hurt conditions met, and far below the \$21.57 quote. The base case requires only that FCF *stops shrinking* — mobile (+448K record adds), a profitable Peacock, and Epic Universe offsetting broadband ARPU erosion — and it is worth **\$20.00**. The bull case (\$44.55) needs the turnaround, the mobile conversion, sustained Peacock profit, *and* a clean spin re-rating.

Why the old \$40 is withdrawn. Three leaks, now closed: (1) the 6.25% WACC was flat across scenarios and explicitly leverage-subsidized — at a 10% cost of capital the base-case EV is \$155.8B, not \$287B; terminal value is 43% of base EV (no TV-dependence haircut needed, but the old model's low discount hid how much value sat in the terminal); (2) the old bear (\$21) sat at the market price — a bear that doesn't hurt is a base case in disguise; (3) the target was a 45/25/20/10 blend of DCF, SOTP, multiples and DDM with hand-set weights, then haircut \$44.50 → \$40 on judgment. The hardened rule is one model, one weighting, no overrule. **Price target: \$21** (0.25×\$1.03 + 0.50×\$20.00 + 0.25×\$44.55 = \$21.39, rounded). Implied return –0.8% price, ~+5% with the dividend.

What would falsify the HOLD: broadband net losses stabilizing below –100K/quarter for two quarters would argue the base case deserves a lower discount (the turnaround de-risked) — as would a spin filing that cleanly allocates debt and preserves the dividend, which would move us back toward BUY. Conversely, losses re-accelerating past –250K/quarter pushes fair value toward the bear case and the rating to REDUCE.

5 Key Risks

Broadband competition (high). Fiber + fixed wireless taking 1M+ net adds/quarter industry-wide; Comcast defending with ARPU-dilutive pricing. If Q3–Q4'26 losses don't stabilize, the trough-multiple thesis breaks.

Split execution (medium-high). Debt allocation, dividend policies, standalone NBCU economics all TBD; tax-free status constrains M&A; for a year post-close.

Leverage (medium). ~2.2x net debt/EBITDA; both ratings on review; a downgrade raises funding costs on a ~\$90B stack.

Sports-rights & content costs (medium). NBA ~\$2.5B/season with expected early-year losses; Olympics through 2036 a \$10B+ commitment — burdening consolidated FCF until the split.

Video & programming (medium, fading). Cord-cutting continues; largely margin-accretive and partly spun away with Versant.

Cyclicality (low-medium). Parks and advertising are discretionary; Orlando softened in summer 2026.

Recommendation

HOLD, \$21 target (–0.8% price; ~+5% with dividend). The September note's BUY rested on a leverage-subsidized 6.25% WACC and a four-lens blend; rebuilt under hardened rules, fair value is \$21.39 against a \$21.57 quote — the market already prices the stabilized-FCF base case. The 6.1% dividend (covered ~8–9x by FCF) pays holders to wait for the mid-2027 spin, but new money has no margin of safety and the bear case (\$1.03) is a reminder of what \$85B of debt does in a real decline. We would upgrade to BUY below ~\$17 (where the base case offers 20%+ upside) or on evidence the broadband turnaround is real; we would cut to REDUCE if quarterly losses re-accelerate past –250K. **Falsification:** two quarters of broadband losses under –100K, or a spin filing that cleanly allocates debt and preserves the dividend, would argue the base case deserves a lower discount — and a higher rating.

Methodology & sources. Valuation as of October 4, 2026; share price \$21.57 (10/2/26 close). Model: 10-year scenario FCFF DCF, weights bear 25% / base 50% / bull 25%; discounts base 10.0% (standard tier) / bear 12.5% / bull 8.5%; terminal growth +1.5% / –2.0% / +2.0% on year-10 FCF at normalized mid-cycle margins. Net debt \$85B (mid-2026); 3.539B diluted shares. Bear case meets all three hurt conditions (revenue decline, ≥300bp margin compression, ≥25% derating) and sits below the current price. Terminal value is 43% of base-case EV (no haircut required). Segment and KPI data from Comcast Q1/Q2 2026 earnings releases and FY2025 10-K; market data via Yahoo Finance. This note is research analysis for informational purposes and is not personalized investment advice. Equity investing involves risk of loss. The author holds no position in CMCSA at the time of writing.